

THE GUARANTOR FOR THE PROTECTION OF PERSONAL DATA

IN THE meeting held today, attended by
Prof. Pasquale Stanzione, President, Prof.
Ginevra Cerrina Feroni, Vice President, Dr.
Agostino Ghiglia and Attorney Guido Scorza, members, and
Dr. Claudio Filippi, Deputy Secretary General;

HAVING REGARD TO Regulation (EU) 2016/679 of the European Parliament and of the Council, of April 27, 2016 (hereinafter, "Regulation");

HAVING REGARD TO the Code regarding the protection of personal data, containing provisions for the adaptation of the national legal system to Regulation (EU) 2016/679 (Legislative Decree No. 196 of June 30, 2003, as amended by Legislative Decree No. 101 of August 10, 2018, hereinafter "Code");

HAVING REGARD TO the complaint submitted on 3/8/2022 pursuant to Article 77 of the Regulation by Ms. XX, represented for the purposes of this proceeding by Attorney Alessandro Altieri, against Santander Consumer Bank S.p.a.;

HAVING EXAMINED the documentation on file;

HAVING REGARD TO the observations made by the Deputy Secretary General pursuant to Article 15 of the Guarantor's Regulation No. 1/2000;

REPORTING Prof. Ginevra Cerrina Feroni;

WHEREAS

1. The complaint against the credit institution and the investigative activity.

By complaint dated 3/8/2022, Ms. XX complained of not having received an adequate and timely response from Santander Consumer Bank S.p.a. (hereinafter "Santander" or "the bank" or "the credit institution") to her request for access to personal data made pursuant to Article 15 of the Regulation and for the deletion of prejudicial information - contained in credit information systems - related to a loan granted to her by the aforementioned bank on August 23, 2016; more specifically, Santander, in a note dated 23/07/2022, informed the interested party that it was unable to provide her with any information regarding the aforementioned financing, as it had been "ceded pro-soluto on 27/05/2019 to Revalue S.p.a." due to the ongoing state of insolvency.

Following the invitation made by the Office to provide observations regarding the facts subject to the complaint as well as to voluntarily comply with the requests made by the complainant, Santander, in a note dated 25/11/2022, communicated to the interested party the requested data, sending her a copy of the contractual documentation related to the loan in question and specifying that it had been granted on August 23, 2016, "characterized by delays in payments"; such delays occurred despite "the specific communication of payment reminder with simultaneous notification of imminent registration in the Credit Information Systems (S.I.C.) sent by the bank on 09/01/2017 and regularly delivered on 26/01/2017."

Subsequent to this communication, "the name of Ms. XX was entered in the database of the Credit Information Systems" and, "due to the continued state of insolvency, on 02/05/2018, the contractual resolution was declared with simultaneous forfeiture of the benefit of the term, containing the request for payment of the entire overdue amount. Furthermore, due to the failure to regularize the overdue amount, on 27/05/2019, the undersigned ceded the rights arising from the marginalized contract to Revalue S.p.A. (formerly Cross Factor S.p.A.)."

In the same note, the Bank also stated that the prejudicial information reported in the SIC "is no longer visible as of today, as the retention periods have expired (...) as provided for by Article 7 of the 'Code

of Conduct for information systems managed by private entities regarding consumer credit, reliability, and punctuality in payments' adopted by the Guarantor for privacy with provision No. 163 of September 12, 2019.”

Finally, regarding the management of requests for the exercise of rights, the credit institution stated that it had provided, “in addition to what was already ordinarily planned, for the immediate sensitization of the structures involved,” also planning “further internal training and that of the supplier, appointed as Data Processor of Santander Consumer Bank S.p.a. (...) in order to ensure the best management of responses to requests from interested parties.”

In a note dated 19/12/2022, the Office, based on the documentation on file and the elements acquired during the investigation, notified Santander Consumer Bank S.p.a. of the initiation of the procedure for the adoption of measures pursuant to Articles 58, paragraph 2, and 83 of the Regulation, in accordance with Article 166, paragraph 5, of the Code, concerning the violation of Article 12, paragraphs 3 and 4 of the Regulation.

In the same note, the bank was invited to produce defensive writings or documents or to request to be heard by the Authority (Article 166, paragraphs 6 and 7, of the Code; as well as Article 18, paragraph 1, Law No. 689 of November 24, 1981).

In a communication dated 18/1/2023, Santander submitted its defensive writings, which are fully referenced here, in which, while reconstructing the “excursus of the relationship existing between the complainant and the company,” it represented that: the bank, “at the time of the request of June 8, 2022 sent by the complainant through her lawyer, no longer held the role of data controller of Ms. [...] concerning the credit relationship with

****the claimant****; this is because, “on May 27, 2019, given the ongoing state of insolvency, the financing contract number [...] between the Company and Ms. [...] was assigned, as part of a pro soluto and bulk assignment of receivables pursuant to Legislative Decree No. 385 of 1993 (“Consolidated Banking Act” or “TUB”), to the company Revalue S.p.A. (then Cross Factor S.p.A., “Revalue” or the “Assignee”), as regularly communicated multiple times to the claimant. For this reason, given the content of the Request and the mandate conferred by Ms. [...] to her lawyer, evidently aimed at ascertaining the persistence of the claimant's name in credit information systems and in the archives of the risk center, the response provided to her lawyer on behalf of Santander by the Macello Law Firm on July 23, 2022, was aimed at reiterating to the claimant to refer to the assignee Revalue for a complete and updated response, as the new holder of the processing of her personal data related to the assigned credit relationship. Indeed, the company Comdata S.p.A. (“Comdata”), which, by virtue of the contract signed on January 4, 2021, provides Santander with a variety of services, including contact center services, document management, and back office services, and which, by virtue of this, has been regularly appointed as the data processor pursuant to Article 28 of the GDPR, deemed that the Request was connected to those previously received by Ms. [...] pursuant to Article 119 TUB and, as such, treated it. [...] For the aforementioned reasons, Santander believes it has not committed any violation, having nonetheless put Ms. [...] in a position to exercise her rights against the Assignee of the credit relationship concerning her, including those of access to the information concerning her at the Assignee and the risk center related to the non-payment and/or delayed payment of the financing installments.”

The credit institution, therefore, while emphasizing “the lack of passive legitimacy” regarding the requests received, has nonetheless highlighted how, as soon as it became aware of the complaint, it promptly activated itself - “with the utmost spirit of collaboration” - providing the claimant, with a letter dated November 25, 2022, sent for information also to the Authority, “the list of personal data still present in its databases due to the contractual, accounting, and legal obligations it holds despite the pro-soluto assignment, and informing once again the claimant of the credit assignment that took place in May 2019. On this occasion, Santander – although not the holder – informed Ms. (...) that the registration of her name was no longer visible as the retention periods provided had elapsed”; furthermore, “the alleged violation [...] concerns solely the lack of timely response to the request due, as already specified, to a good faith assessment made by Comdata, as the processor appointed by Santander [...]”; indeed, even if the Authority were to consider that “the company was the recipient of

the request [...], the lack of and/or insufficient response to the access request would not be attributable to Santander. More precisely, the erroneous response by inviting the claimant to refer to Revalue as the assignee of her credit is due to an assessment attributable solely to the data processor and service provider Comdata, which, by virtue of the service contract signed on January 4, 2021 (attached), is responsible for sorting and managing complaints and requests from customers, including those pursuant to the Regulation, that are sent to Santander. Specifically, also in light of the previous contacts mentioned above that occurred between Santander and Ms. [...], the Request was sorted and forwarded to the external consultant of the Company, who deals with the management of the assigned practices and requests pursuant to Article 119 TUB"; in this regard, no charge can be made against the bank "in relation to the exercise of its accountability, as it has implemented all necessary organizational and contractual measures to provide the broadest and most timely response to requests pursuant to Articles 15-21 GDPR from data subjects. And this also in relation to Comdata, as the data processor. In particular:

- a) The Company has appointed Comdata (its supplier, among others, also for the management of complaints and requests from customers) pursuant to Article 28 GDPR, providing it with the broadest and most complete written instructions on how to manage complaints and also providing an obligation to communicate within 24 hours to the Company the requests received from data subjects, as well as to collaborate in the responses, given also the archiving service performed by Comdata itself. See in this regard Attachment 10 and Attachment 13 [...];
- b) In order to supervise the activities of the processor, the Company has established precise control and audit procedures (Attachment 14);
- c) Additionally, and more generally, Santander has established specific and detailed internal procedures aimed at creating a coordinated management of requests from data subjects involving all relevant functions (Attachment 15).

It is also specified that, following what happened, the Company promptly called Comdata back in writing, notifying the company of the case and the access request from Ms. [...]. Comdata confirmed, among other things, that it had recalled both the responsible employee and the entire operational department, raising awareness in general about the importance of the correct management of such requests.

In light of the above, it is evident that the Company has not only implemented all necessary measures to ensure that the rights of the data subjects are respected, but in this specific case, it has also acted promptly towards the data controller (even though it is not the data controller), exercising its control power in order to assess the seriousness of the actions of the data controller and to adopt the most appropriate corrective measures, including in contractual terms; it must finally be taken into account that Santander "is not (and has not been) the recipient of any sanctioning measure for violations of the same nature as the one at hand (nor for more serious violations)."

2. The outcome of the investigation.

As a result of the examination of the documentation produced and the statements made by the party during the proceedings, it is noted that, unless the act constitutes a more serious offense, anyone who, in a proceeding before the Guarantor, falsely declares or certifies news or circumstances or produces false acts or documents is liable under Article 168 of the Code. It has emerged that Santander Consumer Bank S.p.a. did not respond to the request for access to personal data made by the complainant within the time frame provided by Article 12, paragraph 3 of the Regulation ("without unjustified delay and, in any case, no later than one month from the receipt of the request"), nor did it inform the applicant, within the same time frame, of the reasons for non-compliance as well as the possibility of lodging a complaint with a supervisory authority and of bringing a judicial appeal (Article 12, paragraph 4 of the Regulation).

In particular, it has been established that, in the case at hand, the Bank, on the one hand, did not provide a response within the legal deadlines and, on the other hand, belatedly (i.e., after the thirty days from the request), instead of communicating the requested data to the interested party, limited itself to informing her that, due to the assignment of the credit, the same data could be obtained from the assignee company as the new and actual data controller, being the only entity capable of providing

updated information.

In this regard, it is recalled that Article 15 of the Regulation recognizes the data subject's "right to obtain from the data controller confirmation as to whether or not personal data concerning him or her is being processed" and, consequently, in the affirmative case, the right "to obtain access to the data" itself and to further information; this also in order to verify the accuracy and completeness of the data being processed (even where it concerns mere "storage" of data – see Article 4, paragraph 2, of the Regulation).

It should also be noted that the argument put forward by the party, according to which the lack of response cannot be attributed to the credit institution, but rather to the company appointed as the data processor pursuant to Article 28 of the Regulation (specifically, Comdata S.p.a.), cannot be taken as a valid reason to justify the non-compliance by the controller; indeed, the obligation to respond to the requests of data subjects regarding the exercise of their rights (Article 12, paragraphs 1 and 2 of the Regulation) specifically rests on the data controller, while it is the responsibility of the processor, to whom the practical management of individual requests has been outsourced, to assist the controller "taking into account the nature of the processing, with appropriate technical and organizational measures, to the extent possible, in order to satisfy the controller's obligation to comply" with such requests (Article 28, paragraph 3, letter e) of the Regulation).

The nature of such assistance must therefore be assessed in light of "the nature of the processing," and its specifics must be precisely outlined in the contract which, pursuant to the aforementioned Article 28, paragraph 3, "binds the data processor to the controller [...]."

On the other hand, it must be acknowledged that Santander, as soon as it received the invitation - made by this Authority - to comply with the requests of the interested party, immediately acted accordingly, communicating the requested information to her (see paragraph 1.2, point 2) and also intervening with the processor to verify the occurrence and ascertain the adequacy of the technical and organizational measures contractually provided for the management of requests made by customers pursuant to Articles 15-22 of the Regulation.

3. Conclusions: unlawfulness of the processing carried out.

Corrective measures.

In light of the evaluations above, it is noted that the statements made by the data controller in the defensive writings - the truthfulness of which may be subject to liability under Article 168 of the Code - do not allow for overcoming the observations notified by the Office with the initiation of the proceedings and are insufficient to allow for their archiving, nor do any of the cases provided for by Article 11 of the Guarantor's Regulation No. 1/2019, concerning internal procedures of the Authority with external relevance, apply.

For the above reasons, therefore, the complaint submitted pursuant to Article 77 of the Regulation is declared well-founded, and in exercising the corrective powers attributed to the Authority pursuant to Article 58, paragraph 2, of the Regulation, an administrative pecuniary sanction is imposed pursuant to Article 83, paragraph 5, of the Regulation.

4. Order of injunction.

The Guarantor, pursuant to Article 58, paragraph 2, letter i) of the Regulation and Article 166 of the Code, has the power to impose an administrative pecuniary sanction provided for by Article 83, paragraph 5, of the Regulation.

Regulation, by means of the adoption of an injunction order (art. 18. L. November 24, 1981 no. 689), in relation to the processing of personal data concerning the complainant, which has been found to be unlawful, in the terms outlined above.

With reference to the elements listed in art. 83, par. 2, of the Regulation for the purpose of applying the administrative pecuniary sanction and its quantification, considering that the sanction must be "effective, proportionate and dissuasive in each individual case" (art. 83, par. 1 of the Regulation), it is represented that, in this case, the following circumstances have been taken into account:

- regarding the nature, severity, and duration of the violation, the nature of the violation concerning general principles of personal data protection has been considered relevant;

- with reference to the subjective element, the negligent nature of the violation was noted due to the Bank's erroneous belief that it was no longer the data controller of the data transferred to a third-party company, as well as the fact that directing the interested party to the assignee company could allow the latter to have accurate and updated information regarding their debt position;
- regarding the adoption, by the controller, of measures aimed at mitigating or eliminating the consequences of the violation, the circumstance that the bank voluntarily provided the complainant with the requested information during the proceedings was positively considered;
- the active cooperation of the bank with the Authority during the proceedings was positively evaluated;
- the absence of relevant previous violations committed by the data controller.

In consideration of the aforementioned principles of effectiveness, proportionality, and dissuasiveness (art. 83, par. 1, of the Regulation) to which the Authority must adhere in determining the amount of the sanction, the economic conditions of the offender were taken into account, determined based on the revenues achieved and referred to the financial statements for the year 2021, and the amount of sanctions imposed by the Authority in similar cases was also considered.

In light of the aforementioned elements, evaluated as a whole, it is deemed appropriate to determine the amount of the pecuniary sanction at the sum of €10,000.00 (ten thousand) for the violation of art. 12 of the Regulation.

In this context, also considering the type of violation established, which concerned the principles of personal data protection, it is deemed that, pursuant to art. 166, paragraph 7, of the Code and art. 16, paragraph 1, of the Authority's regulation no. 1/2019, the publication of this provision on the Authority's website should proceed.

It is finally noted that the conditions referred to in art. 17 of regulation no. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Authority, are met.

ALL OF THE ABOVE HAVING BEEN STATED, THE AUTHORITY declares, pursuant to arts. 57, par. 1, lett. f) and 83 of the Regulation, the unlawfulness of the processing carried out, in the terms stated in the motivation, for the violation of art. 12, par. 3 and 4 of the Regulation;

ORDERS

Santander Consumer Bank S.p.A., represented by the legal representative pro tempore, with registered office in Turin, Corso Massimo d'Azeglio, 33/E, VAT no. 12357110019 pursuant to art. 58, par. 2, lett. i), of the Regulation, to pay the sum of €10,000.00 (ten thousand) as an administrative pecuniary sanction for the violations indicated in this provision;

ORDERS

the same bank to pay the sum of €10,000.00 (ten thousand) according to the methods indicated in the annex, within 30 days from the notification of this provision, under penalty of the adoption of the consequent executive acts pursuant to art. 27 of law no. 689/1981.

It is represented that pursuant to art. 166, paragraph 8 of the Code, the offender retains the option to resolve the dispute by paying – always according to the methods indicated in the annex – an amount equal to half of the imposed sanction within the term referred to in art. 10, paragraph 3, of legislative decree no. 150 of September 1, 2011, provided for the submission of the appeal as indicated below.

DISPOSES

pursuant to art. 166, paragraph 7, of the Code and art. 16, paragraph 1, of the Authority's regulation no. 1/2019, the publication of this provision on the Authority's website and considers that the conditions referred to in art. 17 of regulation no. 1/2019 are met.

Pursuant to art. 78 of the Regulation, as well as articles 152 of the Code and 10 of legislative decree no. 150/2011, against this provision an appeal may be made to the ordinary judicial authority, with an application filed at the ordinary court of the place indicated in the same art. 10, within thirty days from

the date of communication of the provision itself, or sixty days if the appellant resides abroad.

Rome, May 17, 2023

THE PRESIDENT

Stanzione

THE REPORTER

Cerrina Feroni

THE DEPUTY SECRETARY GENERAL

Filippi